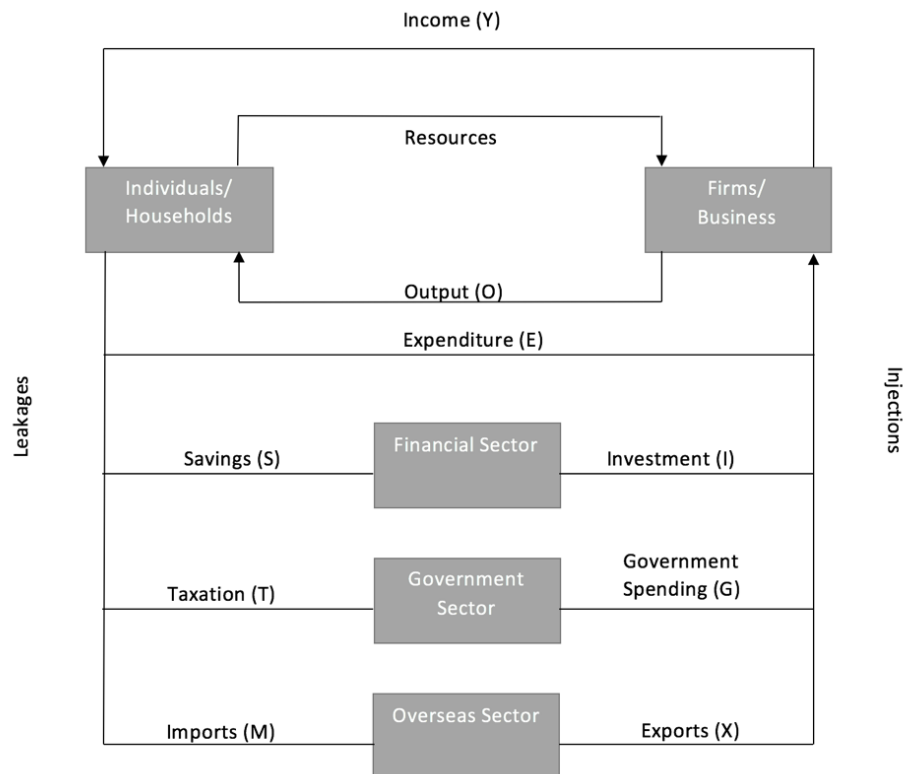


Macroeconomic Activity

 Chapter	6
 Date	Week 3 and 4, Term 2
 Objectives	• the components of aggregate expenditure – consumption – investment – government spending – net exports • factors affecting each of the components of aggregate expenditure • the concept of macroeconomics and its relevance • the distinction between macroeconomics and microeconomics • revise the concept of the circular flow of income • the concepts of total spending, total output and total income and the relationship between them • the concepts of equilibrium, leakages and injections in the circular flow of income • the effect of changes in leakages and injections on the level of equilibrium in the circular flow of income model
 Resources	Aggregate expenditure.pptx

The CFI Model

Circular Flow of Income



▼ What does Income (Y) consist of?

- Wages
- Rent
- Dividends
 - Because you invest in capital from investing in shares
- Profits

▼ What does Resources consist of?

- Land
- Labour
- Capital
- Enterprise

▼ What is equilibrium in the 2 sector model?

$$Y = E = O$$

Income = Household expenditure = Output of firms

▼ **What is equilibrium in the 5 sector model?**

Leakages = Injections

$$S+T+M = I+G+X$$

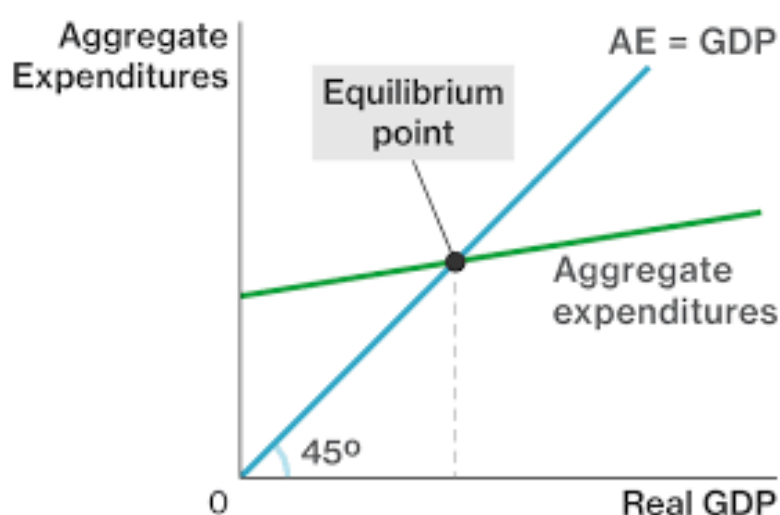
▼ **What happens when leakages exceed injections?**

If leakages increased then there would be lower levels of expenditure, output and injection. The economy would contract

▼ **What happens when injections exceed leakages?**

If injections increased then there would be more money for firms to buy more resources and pay more income to households which would spend more money, therefore there would be an expansion in economic activity

The AE Model



▼ **What is aggregate expenditure?**

The total amount firms, households and governments *plan* to spend on goods and services on each level of income

$$AE = C + I + G + (X-M)$$

AE= Consumer expenditure + investment + government + (exports - imports)

It is also the expenditure method of calculating economic growth

▼ **What are components of aggregate expenditure**

Consumption

- Household expenditure on durable goods, non durable goods and services
 - Durable > 3 years , car/house
 - Non-durable < 3 years , food/clothes
 - Services: Non-commodity items , hairdresser/childcare

Private Investment

- Expenditure on producer or capital goods that are used to produce final goods and services in the future.
- Investment by private firms:
 - Fixed investment (usually on capital goods)
 - Residential fixed investment (private expenditure on new housing)
 - Changes in business inventories (stocks of goods that have been produced but not yet sold). This is called unplanned investment.

Government Expenditure

- All federal, state, local government expenditures
 - G1: Current government expenditure on a day to day function , wages/utilities
 - G2: Government expenditure on capital goods , infrastructure

Net Exports

- Value of exports minus value of imports , coal and natural resources or manufacturing imports

▼ What are the factors affecting consumption expenditure?

DEGSAC

- Disposable income
 - If incomes increase then people spend more
- Expectations
 - Individual expectations on the market and confidence.
- Government policies

- Tax, government spending can help to shape expectations and consumer spending
- Stock of personal wealth
 - If you have more assets then you are more confidence in spending.
- Availability of credit
 - If people can access credit easier then they can spend more. How willing banks are to make loans. If the economy is doing well and people are getting jobs then banks expect customers to pay back credit so they will loan more.
- Cost of credit
 - Interest rates. If they increase then its more expensive to borrow and people buy less.

▼ What are the factors affecting investment expenditure?

RBLG

- Rate of interest
 - If rates are higher then producers will see lower returns on investment and maybe not take out the loan - lower investment expenditure.
 - Opportunity cost of borrowing and investment
- Business expectations
 - If the economy is doing well then businesses are confident and spending increases
- Level of past profits
 - If your business has been more profitable then they will be more willing and able to invest in the future.
 - More profits = more investment
- Government policies
 - Taxes, grants, subsidies

▼ What are the factors affecting government expenditure?

- Government policy objectives

- Based on the macroeconomic objectives
- Monetary policy
- Current economic climate

▼ **What are the factors affecting net exports?**

- Exchange rates
- Terms of trade
- Domestic and overseas activity
- Tariffs/quotas